Driving Prices: The Relationship of Proximity to Golf Courses and Home Mortgages

Henry Rotunno
School of Information Science & Department of Geography and Geographic Information Science, The University of Illinois

Research Question

Was proximity to golf courses predictive of housing prices in Phoenix in 2019-2023 after controlling for neighborhood demographics?

Literature Review

- The explosion of golfing in the United States has prompted the creation of more courses, golf communities tend to be pricier than non golf areas (Asabere and Huffman 1996).
- The majority of golf courses being constructed are part of major real-estate projects in suburban areas (Nicholls and Compton 2012)
- Existing research that concludes golf courses raise housing prices has failed to account for non-golf related perks that the course could bring (Propheter 2022).

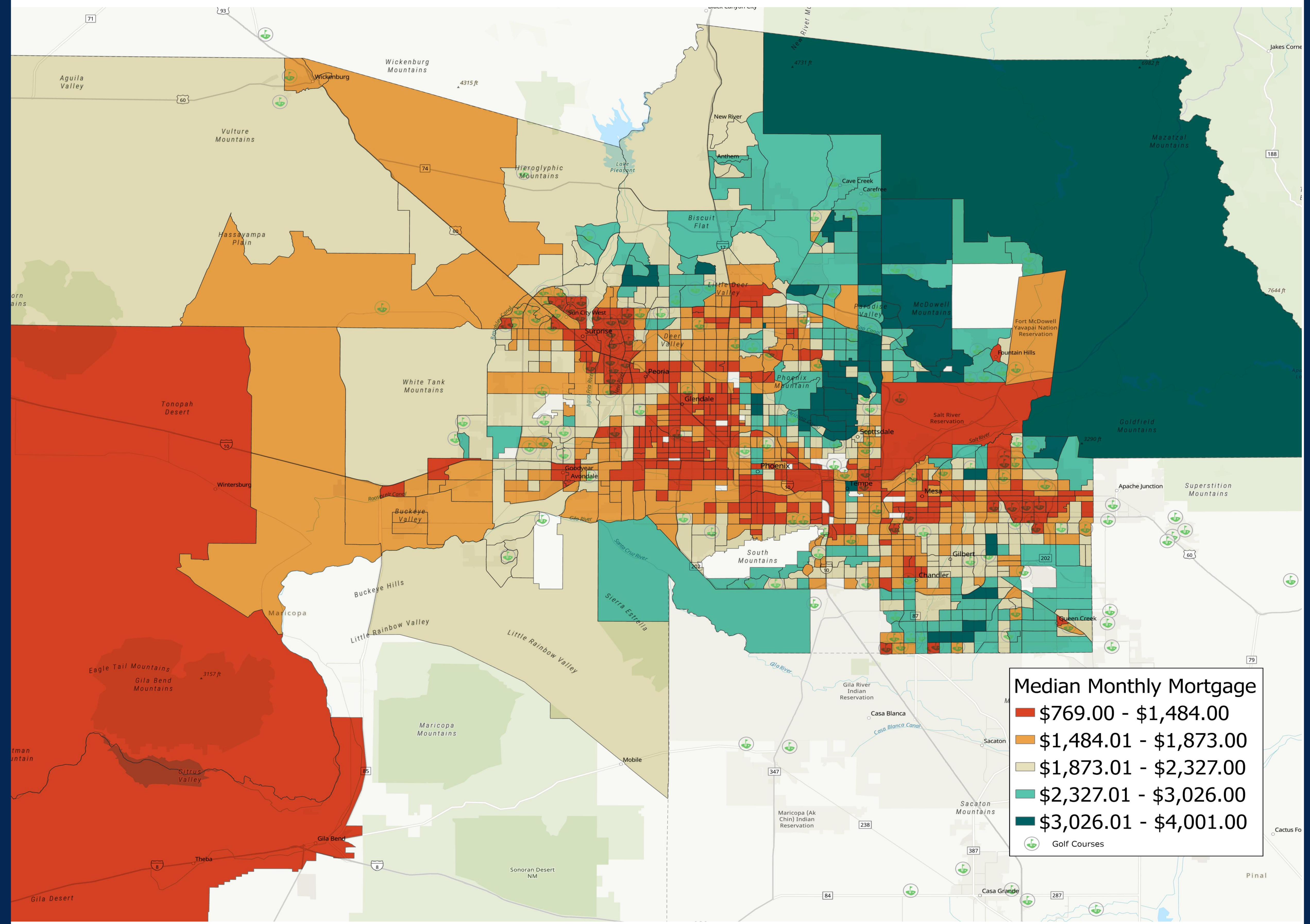
Methods and Data Sources

- ArcGIS Pro 3.6.0
- Spatial Regression
- Proximity Analysis
- Demographic data from the US Census Bureau 2019-2023 American Community Survey
- Golf location course data from TomTom

Golf course at West Runton, UK (Pugh 2007)

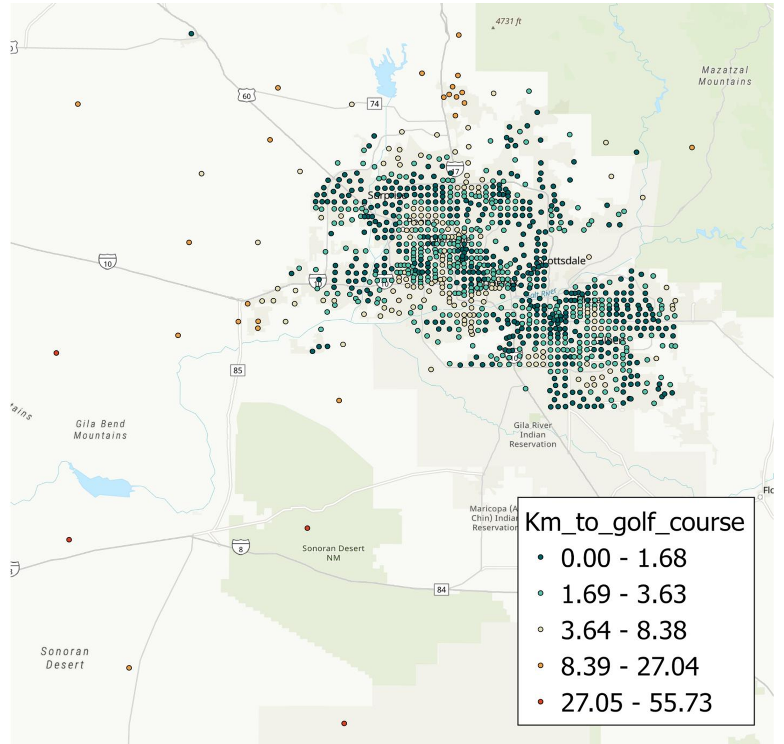
ILLINOIS

Main Map

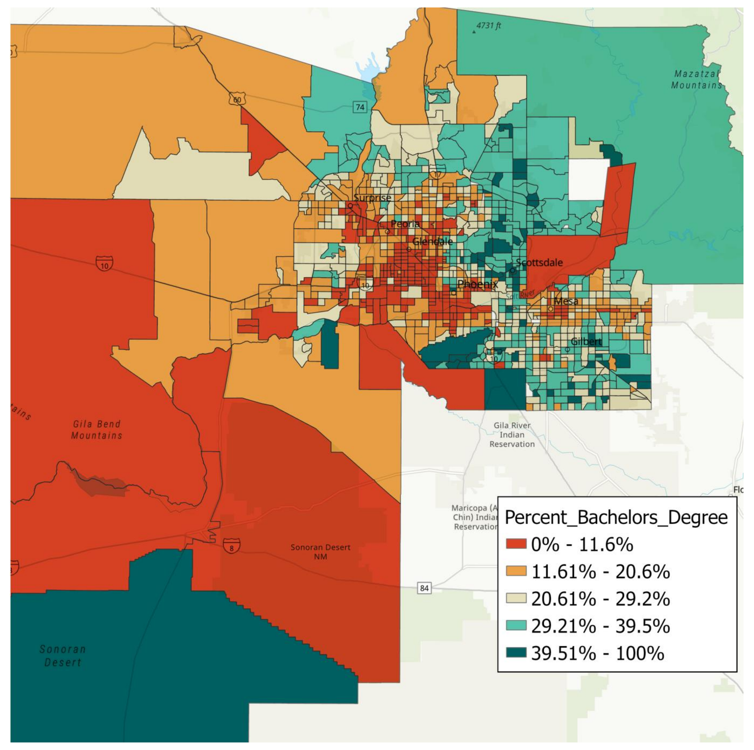


Golf courses and median monthly mortgage by census tract from 2019 to 2023 in Maricopa County, Arizona

Analysis



Distance to nearest golf course in kilometers per census tract in Maricopa County, Arizona



Percent bachelors degree by census tract in Maricopa County, Arizona

========= Spatial Lag =========

	coef	std err	t	P>|t|
Intercept	0.025	0.020	1.217	0.2241
Km_to_golf_course	0.005	0.021	0.237	0.8126
Percent_Single_Mothers	-0.023	0.022	-1.048	0.2951
Percent_Bachelors_Degree	0.280	0.033	8.536	0.0000
Percent_Foreign_Born	-0.002	0.025	-0.071	0.9433
Percent_Disabled	-0.159	0.023	-6.827	0.0000
Percent_Veterans	0.005	0.023	0.220	0.8259

AIC: 1466.8037
Rho: 0.6353
OLS Adj R-squared: 0.553

Spatial lag regression results

Conclusions

- Proximity to golf courses was not predictive of housing prices in Phoenix in 2019-2023 after controlling for neighborhood demographics.
- Distance to the nearest golf course makes a minimal contribution to the model with an OLS coefficient of 0.025.
- The spatial lag model's adjusted R-squared value of 0.553 explains 55.3% of the variation, percent bachelors degree has the greatest contribution to the model with an OLS coefficient of 0.280.
- The findings in this analysis adhere with the literature that indicates how previous research fails to account for the non-golf aspects of golf courses.

House near a golf course (Marine 2019)

Reference List

- Asabere, K. Paul, and Huffman, E. Forrest. 1996. "Negative and Positive Impacts of Golf Course Proximity on Home Prices." *The Appraisal Journal* 64 (4): 351-355. https://www.proquest.com/scholarly-journals/negative-positive-impacts-golf-course-proximity/docview/199973170/se-2?accountid=14553.
- Nicholls, Sarah, and Crompton, L. John. "The Impact of a Golf Course on Residential Property Values." *Journal of Sport Management* 22 (4): 555-570. https://doi.org/10.1123/jsm.21.4.555.
- Propheter, Geoffrey. 2022. "Golf Courses and Property Prices: Is is the Golf or the Open Space?" *Applied Economic Letters* 29 (3): 245-248. https://doi.org/10.1080/13504851.2020.1861200.
- US Census Bureau (USCB). 2024. "2019 - 2023 American Community Survey 5-Year Estimates." Released 12 December. https://data.census.gov.
- Pugh, DS. 2007. "Golf course - geograph.org.uk - 560405.jpg." Captured 28 August. https://upload.wikimedia.org/wikipedia/commons/e/e1/Golf_course_-_geograph.org.uk_-_560405.jpg.
- Marine. 2019. "Phoenix-House-Borah Mansion-1931." Captured 22 January. https://upload.wikimedia.org/wikipedia/commons/8/8e/Phoenix-House-Borah_Mansion-1931.jpg.